Question 1: Solution

Arabella Ltd

Arabella Ltd
Statement of changes in equity
For the year ended 31 March 20X7

	Share capital £'000	Share premium £'000	Retained earnings £'000	Revaluation surplus £'000	Capital redemption reserve £'000	Total £'000	
Balance at 31 March 20X6	250	480	200	150	-	1,080	
Correction of prior period error (W1)	-	-	10	-	-	10	**(1 mark)**
Restated balance	**250**	**480**	**210**	**150**	**-**	**1,090**	**(1 mark)**
Changes in equity for the year ended 31 March 20X7					-		
Issue of share capital (W2)	20	380	-	-		400	**(1 mark)**
Repurchase of ordinary shares (W4)	(5)		(75)		5	(75)	**(2 mark)**
Transfer to retained Earnings (W5)			14	(14)	-	-	**(1 mark)**
Dividends paid during the year (W6)	-	-	(35)	-		(35)	**(1 mark)**
Total comprehensive income for the year	-	-	350	(50)		300	**(1 mark)**
Balance at 31 March 20X7	**265**	**860**	**464**	**86**	**5**	**1,680**	**(1 mark)**

Row and column totalling (1 mark)

W1: Errors are applied retrospectively and are presented as an adjustment to the opening balance.

W2: 20,000 £1 ordinary shares were issued in exchange for an intangible asset. The fair value of the asset received (£400,000) is used to calculate the share premium element (£400,000 – (20,000 × £1)).

W3: Arabella revalued some of its buildings downwards by £50,000 and this was posted to OCI - decrease revaluation surplus by £50,000.

W4: Arabella repurchased 5,000 £1 ordinary shares for £15 per share. The total amount payable is £75,000.

Note: Journal entries are presented in £ The repurchase would be eliminated by:

Dr	Share capital	5,000	
Dr	Premium on purchase	70,000	
	Cr Bank		75,000

As there is no new issue, the share premium cannot be used to eliminate the premium on purchase and retained earnings is used instead:

Dr	Retained earnings	70,000	
	Cr Premium on purchase		70,000

The nominal value of the share capital is replaced by creating a capital redemption reserve

Dr	Retained earnings	5,000	
	Cr Capital redemption reserve		5,000

W5: Transfers in respect of the revaluation surplus are made between the revaluation surplus and retained earnings.

W6: Profit for the year is recognised in the total comprehensive income. As the dividends have been declared and approved, they should be deducted from retained earnings.

Total marks (10 marks)

Question 2: Solution

Sparkle Ltd

Litigation

Adjusting the provision for the litigation to £180,000, reflecting the court settlement, is required as it provides further evidence of the company's obligation at the end of the reporting period (an adjusting event under IAS 10 Events after the Reporting Period).

The legal expenses of £15,000 which were incurred in the year ended 30 September 20X7 should be recognised as accrued expenses as there is no uncertainty as to the amount payable.

These expenses should be disaggregated and presented as a separate line in the operating category of the statement of profit or loss.

(3 marks)

Equipment purchase

No recognition is required for the equipment purchase agreement in the financial statements for the year ended 30 September 20X7 as control of the asset has not been transferred by that date, and the contract can be cancelled without penalty.

However, as this is a material non-adjusting event under IAS 10, disclosure of the nature of the asset purchase and the financial effect is required in the notes to the financial statements.

(2 marks)

Supply agreement

The supply agreement is considered an onerous contract under IAS 37 *Provisions, Contingent Liabilities and Contingent Assets* since the unavoidable costs (£550,000 exceed the economic benefits expected (£500,000).

A provision should be recognised for the lower of the estimated loss (£50,000) and the cancellation cost (£250,000).

(2 marks)

Dividend declaration

The declared dividend is not recognised as a liability at the end of the reporting period, as it was declared after the year end.

As the dividend has been declared before the financial statements are authorised for issue, the amount of the dividend in total and on a per share basis should be disclosed in the notes to the financial statements.

(2 marks)

Total marks (9 marks)

Question 3: Solution

Souter Solids plc

Requirement 1

A change to the measurement model from historical cost for fair value constitutes a change in accounting policy in accordance with IAS 8 *Basis of Preparation of Financial Statements.*

(1 mark)

Ordinarily, IAS 8 requires a change in accounting policy to be applied retrospectively, However, IAS 8 permits a change to the measurement model of property, plant and equipment to be dealt with prospectively, as a revaluation in accordance with IAS 16 *Property, Plant and Equipment* and therefore there is no need to backdate and change previously reported amounts.

(1 mark)

The factories would continue to be depreciated at cost until the first revaluation to £6m on 31 January 20X9. The assets would then be revalued and the £2.6m revaluation increase recorded in the revaluation surplus.

(1 mark)

	£'000
Cost	7,300
Accumulated depreciation	(3,900)
Carrying amount	3,400
Fair value	6,000
Revaluation increase	2,600

(1 mark)

(4 marks)

Requirement 2

The effect of the prior period error is shown as an adjustment to the opening retained earnings balance in the statement of changes in equity.

(1 mark)

Restated retained earnings would be:

	£'000
Balance at 31 January 20X8	12,000
Prior period adjustment	(700)
Adjusted balance	11,300

(1 mark)

The profit for the year ended 31 January 20X9 will be increased by 700k (£1,400k + £700k = £2,100k).

(1 mark)

(3 marks)

Requirement 3

IAS 8 requires that a change in accounting estimates, such as a revision of warranty provision rates, should be accounted for prospectively.

(1 mark)

This means that Souter should apply the new estimate of 1% to sales occurring after the change. There is no need to restate previous financial statements, as this change is not a correction of an error or a change in accounting policy.

(1 mark)

(2 marks)

Total marks (9 marks)

Question 4: Solution

Feather plc

Requirement 1

IAS 34 *Interim Financial Reporting* encourages publication within 60 days of the interim period end.

(1 mark)

It requires the publication of the interim report within 60 days after the end of the interim period.

(1 mark)

As a minimum, the following must be prepared:

- Condensed statement of financial position
- Condensed statement of profit or loss and other comprehensive income
- Condensed statement of changes in equity
- Condensed statement of cash flows
- Selected explanatory notes
- Basic and diluted earnings per share
- Comparatives

(1 mark)

'Condensed' means including, at least, the headings and sub-totals in last year's full financial statements.

(1 mark)

Amounts are calculated using normal accounting policies, with materiality determined in relation to the data for the interim period and not the whole year.

(1 mark)

Results for the period use actual sales, expenses etc, and therefore revenue cannot be based on a proportion of the estimated annual results.

(1 mark)

Total for requirement 1: (6 marks)

Requirement 2

The finance director does not have experience in producing interim financial statements and has suggested an accounting treatment which is not in keeping with the requirements of IAS 34, which raises doubt over their professional competence and due care.

(1 mark)

The suggestion that revenue is based on a proportion of total year revenue rather than year-to-date amounts because Feather has seasonal trade suggests a deliberate attempt to manipulate the revenue information, which calls into question the integrity of the finance director.

(1 mark)

Total for requirement 2 (2 marks)

Total marks (8 marks)

Question 5: Solution

Cubby Creations plc

Loss per share for the year ended 30 September 20X9

Loss to ordinary shareholders

Loss to ordinary shareholders = (£2,202,000) - £200,000 = (£2,402,000)

(1 mark)

Calculation of theoretical ex-rights value per share

Shares in rights issue = 2/5 rights issue x 90% x 15m shares = 5.4m

(1 mark)

$$\frac{(£5.25 \times 15m \text{ shares}) + (£4.00 \times 5.4m \text{ shares})}{15m \text{ shares} + 5.4m \text{ shares}}$$

Theoretical ex-rights value per share = £4.92

(2 marks)

Calculation of adjustment factor

£5.25/£4.92 = 1.07

(1 mark)

Weighted average number of shares

Weighted average number of shares = (8/12 months x 1.07 x 15m) + (2/12 months x 20.4m) + (2/12 months x 17.9m) = 17.083m

(2 marks)

Calculation of basic loss per share

Loss per share = £(2,402k)/17,083k = 14.1 pence per share

(1 mark)

Diluted loss per share for the year ended 30 September 20X9

Adjusted loss to ordinary shareholders

	£'000
Loss to ordinary shareholders	(2,402)
Interest expense saved on conversion of bonds, after tax (75% x 8% x £3m)	180
Adjusted loss to ordinary shareholders	(2,222)

(2 marks)

Diluted potential ordinary shares

	'000
Weighted average number of shares	17,083
Conversion of bonds (3m x [500 shares/1,000 bonds])	1,500
Diluted potential ordinary shares	18,583

(2 marks)

Diluted loss per share

Diluted loss per share = (£2,222,000)/18.583m = 12.0 pence per share (antidilutive and therefore not disclosed)

(1 mark)

Total marks (13 marks)

Question 6: Solution

Geller plc

Requirement 1

Net effect on profit for the year

	20X8 £'000	20X7 £'000
Overstatement of revenue	(18,850)	(13,614)
Current year revenue recognised in prior year	13,614	3,979
Net decrease in profit before income taxes	(5,236)	(9,635)
Income tax expense (25%)	1,309	2,409
Net decrease in profit for the year	(3,927)	(7,226)

(2 marks)

Revised earnings per share

Profit for the year as previously reported	29,219	23,216
Net decrease on profit for the year	(3,927)	(7,226)
Revised profit for the year	25,292	15,990

(1 mark)

	pps	pps
Revised earnings per share (20,000,000 shares)	126	80

(1 mark)

(4 marks)

Requirement 2

IAS 8 *Basis of Preparation of Financial Statements* sets out accounting treatment and disclosure requirements for material prior period errors. The nature of the error must be disclosed. In this case, it should be disclosed that revenue was being recognised earlier than it should have been with the consequent effect of inflating revenues.

(1 mark)

The 20X7 comparative in the financial statements for the year ended 31 October 20X8 for both the statement of profit or loss and the statement of financial position should be headed as 'restated'.

(1 mark)

Also to be disclosed is the amount of correction for each prior period presented. For 20X7, Geller should disclose the decrease in revenue and income tax in the statement of profit or loss; then the decrease in trade and other receivables, income taxes payable and retained earnings in the statement of financial position.

(1 mark)

Finally, the amount of correction at the beginning of the earliest prior period present should be disclosed.

(1 mark)

In this case, there is an adjustment to reduce retained earnings at the beginning of the 20X7 financial year for the revenue recognised in the 20X6 financial statements of £3.979m, net of the tax effect of 25% to give a net reduction of £2.984m.

(1 mark)

	£'000
Adjustment	3,979
Income tax (25%)	(995)
Adjustment, net of income tax	2,984

(1 mark)

(6 marks)

Total marks (10 marks)

Question 7: Solution

Glass Group

Basic earnings per share

Earnings attributable to ordinary shareholders = £3,005,000 – £160,000 = £2,845,000

(1 mark)

Calculation of theoretical ex-rights value per share

Shares issued in rights issue = 3/10 rights issue x 10m shares = 3m

(1 mark)

$$\frac{(£4.15 \times 10m \text{ shares}) + (£3.00 \times 3m \text{ shares})}{10m \text{ shares} + 3m \text{ shares}}$$

Theoretical ex-rights value per share = £3.88

(1 mark)

Calculation of adjustment factor

£4.15/£3.88 = 1.07

(1 mark)

Calculation of basic earnings per share

Weighted average number of shares = (10m x 1.07 x 6/12 months) + (13m x 6/12 months) = 11.85m

(1 mark)

Basic earnings per share = £2,845k/11,850k = 24.0 pence per share

(1 mark)

Diluted earnings per share

	Earnings £'000	**Shares '000**	**Per share p**
Earnings attributable to ordinary shareholders	2,845		
Weighted average shares		11,850	
Shares under option		1,200	
If issued at market price ([1.2m x £2.80]/£4.20)		(800)	
		12,250	
Diluted earnings per share			23.2

Diluted potential ordinary shares (1 mark)

Diluted earnings per share (1 mark)

Total marks (8 marks)

Question 8: Solution

Olive Ltd

Requirement 1

The retailing business meets the definition of a discontinued operation in accordance with IFRS 5.

(1 mark)

The retailing business meets the definition in accordance with IFRS 5 as it is a separate component of the entity, as it can be clearly distinguished from the rest of the entity, it has been disposed of and represents a major line of business.

(1 mark)

The results of the retailing business for the period, including any gain or loss on disposal, are therefore presented separately on the face of the statement of profit or loss and other comprehensive income in the current period.

(1 mark)

The prior year comparative information should be amended to separately present the results of the retailing business in the prior year.

(1 mark)

(4 marks)

Requirement 2

Olive Ltd
Statement of profit or loss for the year ended 31 December 20X3

	£'000
Revenue (52,700 - 5,200)	47,500
Cost of sales (38,500 - 4,500)	(34,000)
Gross profit	13,500
Selling expenses (4,500 - 1,400)	(3,100)
General and administrative expenses (1,500 - 1,000)	(500)
Operating profit/(loss)	9,900
Profit before financing and income taxes	9,900
Interest expenses on borrowing and lease liabilities	(600)
Profit before income taxes	9,300
Income tax expense (1,900 + 675)	(2,575)
Profit from continuing operations	6,725
Profit from discontinued operations (-1,025 + 1,800)	775
Profit	7,500

Profit from continuing operations (3 marks)

Profit from discontinued operations (1 mark)

Gain on disposal = £7m - £5.2m = £1.8m

(1 mark)

Total marks (9 marks)

Question 9: Solution

International Beverages Ltd

International Beverages Ltd
Statement of profit or loss
For the year ended 31 December 20X3

	£'000
Revenue (84,000 - 6,600)	77,400
Cost of sales (45,000 - 6,250)	(38,750)
Gross profit	38,650
Warehouse expense (4,250 - 150)	(4,100)
General and administrative expenses (6,780 - 450)	(6,330)
Operating profit	**28,220**
Profit before financing and income taxes	**28,220**
Interest expenses on borrowings and lease liabilities	(490)
Interest expenses on pension liabilities and provisions	(930)
Profit before income taxes	26,800
Income tax expense (7,514 + 100)	(7,614)
Profit from continuing operations	19,186
Profit from discontinued operations (Note 1)	2,850
Profit	22,036

(4 marks)

Note 1 – Discontinued operations

	Discontinued operations 20X3 £'000
Loss for the year	**(150)**
Profit on disposal (£32,000,000 – £29,000,000)	3,000
Profit from discontinued operations	2,850

(2 marks)

On 1 September 20X3, the company entered into a binding sales agreement with Co-op Spirits Ltd to sell the alcohol-free spirits division for £32m. This plan had been announced on 20 June 20X3 due to the severe competition faced by the division, which had reduced profitability. The sale was completed on 1 October 20X3.

(2 marks)

Total marks (8 marks)

Question 10: Solution

Admiral Group

The following are related parties:

- Admiral Holdings plc (Admiral), Castle Yacht Builders Ltd (Castle) and Sale Makers Ltd (Sail), as members of the same group.
- Boat Builders Inc (Boat), as a member of key management personnel (consultancy) of Admiral.
- The chairman of Admiral (who is also the director of Boat) and other directors, as members of key management personnel.

(3 marks)

Hull Fabrications plc (Hull) and Admiral are not related simply because they share two members of key management personnel or because Hull provides finance to Admiral.

(1 mark)

However, as Hull has a shareholding in Admiral that represents significant influence, it is a related party.

(1 mark)

Forrest Woods plc and Metal Bashers Ltd are not related parties simply because they are suppliers with whom the entity transacts a significant volume of business. Two parties are not related simply by virtue of resulting economic dependence.

(1 mark)

The nature of the related party relationship, as described above, must be disclosed along with:

- The amount of the transactions, and
- The amount of outstanding balances, including commitments

(1 mark)

Transactions between group companies do not need to be disclosed in consolidated financial statements, as these will be eliminated on consolidation.

(1 mark)

Specifically, the following should be disclosed:

- The consultancy fee paid to Boat, including amount
- The loan received from Hull, including amount loaned and amount outstanding
- The purchases from Hull, including amounts
- The sale of equipment to Hull, including amounts and recognition of it being discounted

(4 marks)

Total marks (12 marks)

Question 11: Solution

Vario Downhole Ltd

The following are related parties:

- Deepwater Solutions plc (Deepwater) as the parent company and Index Cleaning Solutions Ltd (ICS) as an associate.
- The board of directors, as key management personnel of Vario Downhole Ltd (Vario).
- As well as being key management personnel, Ronald Stanley as the controlling shareholder of Vario and William Tait as a shareholder with significant influence over Vario; and
- The pension scheme.

(4 marks)

The nature of the related party relationship, as described above, must be disclosed along with:

- The amount of the transactions, and
- The amount of outstanding balances, including commitments

(1 mark)

Specifically, the following should be disclosed:

- The management charged by Deepwater, including amounts
- The industrial cleaning services provided by ICS, including amounts
- The outstanding balance for unpaid cleaning services at year end
- The post-employment benefits paid to directors, including amounts
- The rent paid to the pension scheme
- The cross-guarantee in place between Deepwater and Vario, including the outstanding balance

(6 marks)

Total marks (11 marks)

Question 12: Solution

19th Hole Entertainments Ltd

Workings

Remuneration

	£'000
Gross salary	244
Annual bonus	31
Benefits in kind	12
Fee from subsidiary company	2
Remuneration	289

(1 mark)

Defined contribution pension costs = £8,000 + £7,000 = £15,000

(1 mark)

Highest-paid director

	Gross salary £'000	**Annual bonus £'000**	**Long-term incentive scheme bonus £'000**	**Benefits in kind £'000**	**Fee from subsidiary £'000**	**Total £'000**
Driver	75	12	15	4	-	106
Iron	75	9	17	4	2	107
Wedge	75	10	14	3	-	102

(3 marks)

Disclosure notes

Directors' remuneration comprised:

	£'000
Remuneration	289
Long-term incentive scheme	51
Pension costs	15
Aggregate directors' remuneration	355

(1 mark)

Two directors are members of the defined contribution pension scheme.

(1 mark)

Two directors are members of the defined benefit pension scheme.

(1 mark)

The remuneration of the highest-paid director included:

Emoluments	107
Pension costs	7
Aggregate director's remuneration	114

(1 mark)

Compensation for loss of office of a director amounted to £7,000, which consisted of a car.

(1 mark)

Total marks (10 marks)

Question 13: Solution

Swan Songs Music plc

Workings

Remuneration

	£'000
Salary	675
Bonus	105
Benefits in kind	36
Fee from subsidiary company	7
Remuneration	823

(1 mark)

Note: Amounts paid through joint ventures and associates are not included.

Highest-paid director

	Gross salary **£**	**Annual bonus** **£**	**Long-term incentive scheme bonus** **£**	**Benefits in kind** **£**	**Fee from subsidiary** **£**	**Gain from exercised share options** **£**	**Total** **£**
McGuigan	165,000	30,000	8,000	4,000	7,000	2,000	216,000
Eddo	140,000	30,000	7,000	15,000	0	2,000	194,000
Kumar	140,000	25,000	6,000	2,000	0	0	173,000
Li	140,000	10,000	0	9,000	0	0	159,000
Smith	90,000	10,000	0	6,000	0	0	106,000
	675,000	105,000	21,000	36,000	7,000	4,000	848,000

Emolument = £216,000

(3 marks)

Pension costs

McGuigan (7% x £165k)	12
Eddo (7% x £140k)	10
Kumar (7% x £140k)	10
Pension costs	32

(1 mark)

Note: Contributions to defined contribution pension plans are included in the director remuneration disclosure.

Disclosure notes

Directors' remuneration comprised:

	£'000
Remuneration	823
Long-term incentive scheme	21
Pension costs	32
Aggregate directors' remuneration	876

(1 mark)

Three directors are members of the defined contribution pension scheme. Two directors are members of the defined benefit pension scheme.

(1 mark)

McGuigan and Eddo also exercised share options held during the year and received a gain on exercise equal to £2,000 each.

(1 mark)

The remuneration of the highest-paid director included:

Emoluments	216
Pension costs	12
Aggregate director's remuneration	228

(1 mark)

Compensation for loss of office of a director amounted to £32,500, which consisted of the transfer of a car, laptop and smartphone to the outgoing director.

(1 mark)

Total marks (10 marks)